HOW MSMEs IN BIHAR CAN START AN EXPORT BUSINESS IN 2026

A practical, evidence-led roadmap from local products to global markets

MARKET INTELLIGENCE Choose products and destinations using trade data
EXPORT READINESS Understand registration, compliance and logistics
COMMERCIAL DISCIPLINE Protect margins, cash flow and payment security
BOARD-LEVEL PERSPECTIVE Measure competitiveness, repeat orders and local value creation

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Published as a practical thought-leadership article. Verify current rules, scheme eligibility and policy notifications with official authorities before making business commitments.

Executive Perspective

Bihar's next phase of economic development will depend not only on producing more goods, but also on helping local enterprises access larger markets, earn foreign exchange, improve productivity and create sustainable employment. For micro, small and medium enterprises (MSMEs), exporting can become a pathway to business diversification, stronger value chains and greater competitiveness. However, international trade is not simply a matter of obtaining an Importer Exporter Code (IEC) and finding a foreign buyer. It requires market intelligence, product compliance, working capital, reliable logistics, commercial negotiation and disciplined risk management.

NITI Aayog's *Export Preparedness Index 2024* reports Bihar's exports at ■17,154 crore in FY 2023–24 and places the state 19th in the index. It highlights Bihar's agricultural strengths, international border with Nepal, and products such as makhana, Shahi litchi, maize, Bhagalpuri silk and GI-linked crafts. At the national level, India's total exports of goods and services reached approximately US$825.25 billion in FY 2024–25. These figures establish the scale of India's international trade and the importance of helping smaller enterprises participate more effectively.

The central question for Bihar is not whether export opportunities exist, but how local enterprises can convert those opportunities into repeat orders, profitable transactions and durable international relationships.

1. Identify Products with a Defensible Export Advantage

A successful export strategy begins with the product, not the registration form. Bihar has potential across several product categories:

- **Agricultural and food products:** makhana, maize, rice, pulses and selected processed foods.
- **Horticulture:** Shahi litchi and other suitable fruits, subject to shelf life, cold-chain capacity and destination-country requirements.
- **Handloom and handicrafts:** Bhagalpuri silk, Madhubani paintings, Sikki craft and other regionally distinctive products.
- **Processed and value-added goods:** packaged foods, textile products, craft-based gifts and products developed for specialist overseas buyers.
- **Business-to-business supplies:** selected manufactured goods, components and packaging products where quality, pricing and delivery capabilities are competitive.

These are potential product pathways, not a guarantee that every item is immediately export-ready. Fresh produce, food products, textiles and handicrafts face different market-access, quality, packaging and certification requirements.

A practical product-selection test

- **Demand:** Are buyers importing this product, and at what price?
- **Competitive advantage:** Can the enterprise offer distinctive quality, reliable supply or a cost advantage?
- **Compliance:** What standards, testing, licences and documentation are required?
- **Logistics:** Can the product reach the buyer in acceptable condition and at a viable cost?
- **Profitability:** Will a reasonable margin remain after production, packaging, freight, insurance, finance, commissions and compliance costs?

An attractive product is not necessarily a profitable export product. A commercially viable export product is one for which demand, compliance, logistics and margins work together.

2. Use Official Trade Data Before Choosing a Market

One common mistake made by first-time exporters is selecting a country based on general popularity rather than evidence. India's Department of Commerce provides official export-import databases and trade-intelligence resources that allow businesses to examine commodities, trading partners, regions and export trends.

A Bihar-based MSME should use these resources to answer:

- Which countries already import the proposed product?
- What is the approximate value and volume of imports?
- Which competing countries supply the market?
- What unit prices and product specifications appear commercially relevant?
- Are import duties, trade agreements or non-tariff requirements likely to affect competitiveness?

The exporter should identify the product's correct ITC-HS classification, where applicable, and investigate the destination market before approaching buyers. For example, a makhana enterprise might compare demand for bulk raw makhana with demand for roasted, seasoned, branded or retail-packed products. Each model involves different margins, packaging requirements, buyer expectations and regulatory obligations.

Mentor's insight: Market selection should follow product-market fit, not personal preference. A small enterprise may achieve better results by serving one carefully researched niche than by attempting to sell everywhere.

3. Complete the Essential Export Registrations

The registration process should be organised around the proposed business model and product category.

Step 1: Establish the business

Choose a suitable legal structure, such as a proprietorship, partnership, LLP or company, based on ownership, investment, liability and growth plans. Obtain the applicable PAN, business bank account, address documentation and GST registration where required by law or the proposed transaction.

Step 2: Obtain an Importer Exporter Code

The IEC is generally required for exporting goods from India, subject to applicable exemptions. Apply through the Directorate General of Foreign Trade at dgft.gov.in and verify the current online application process, documents and prescribed fee.

Step 3: Complete product-specific registrations

Depending on the product and business model, additional requirements may include APEDA or other export-promotion-body registration, FSSAI licensing and food-safety compliance, plant-quarantine or phytosanitary clearances, and applicable textile, handicraft, testing, labelling or product-safety requirements. Registration with a relevant Export Promotion Council may also be beneficial or required for a particular scheme.

Step 4: Understand customs and banking procedures

Coordinate with an experienced customs broker or freight forwarder and the authorised dealer bank handling export transactions. Confirm documentation, shipping procedures, foreign-exchange receipt arrangements and applicable reporting requirements before dispatch.

Important: IEC registration is a starting point, not a substitute for product compliance, buyer verification or export documentation.

4. Develop a Buyer-Acquisition Strategy

Finding a genuine buyer is often more difficult than completing registration. MSMEs can develop buyer pipelines through Export Promotion Councils, industry associations, government-supported buyer-seller meetings, trade fairs, verified B2B marketplaces, professional networks, trade-promotion resources and targeted direct outreach.

A professional export profile should contain product specifications, photographs, available certifications, production capacity, minimum order quantity, packaging options, indicative lead time and contact details. A buyer should be qualified before substantial money or goods are committed. Check the company's legal identity, business address, references, payment history where available and authority to purchase. Be cautious of large initial orders accompanied by unusual advance fees, unexplained certificates or pressure to transfer money.

A sample order can help establish product acceptance, but samples should have a defined objective, documented cost and follow-up plan.

5. Calculate the Real Export Price

An export quotation must reflect the complete cost of delivering the product under the agreed terms.

Cost component	What to calculate
Product cost	Raw materials, labour and manufacturing
Export preparation	Quality checks, packaging, labelling and testing
Inland logistics	Transport, loading, warehousing and handling
International logistics	Freight, insurance and applicable terminal charges
Trade and finance	Bank charges, commissions and working-capital costs
Compliance	Applicable licences, certificates and inspection expenses
Risk allowance	Currency movement, wastage, delays and claims
Profit margin	Sustainable profit after all relevant costs

The quotation must define the applicable Incoterms® rule, named place or port, shipment responsibilities and delivery obligations. An FOB quotation is not directly comparable with a CIF quotation because the allocation of freight and insurance responsibilities differs. Exporters should use the relevant Incoterms® edition correctly and obtain professional advice for complex transactions.

A large export order is not necessarily a good order. Revenue without adequate margin and cash-flow control can weaken an otherwise healthy MSME.

6. Manage Payment, Currency and Working-Capital Risk

International trade introduces risks that domestic transactions may not create to the same degree. New exporters should understand the differences between advance payment, documentary credit, documentary collection and open-account terms. The right arrangement depends on buyer credibility, bargaining power, country risk, transaction size and banking costs.

- Verify the buyer and agree on clear written payment terms.
- Use appropriate bank-supported instruments where justified.
- Confirm buyer and seller responsibilities before production.
- Assess foreign-exchange exposure and discuss suitable risk-management options with the bank.
- Avoid committing more working capital than the enterprise can sustain.
- Maintain records of invoices, shipping documents, foreign-exchange realisation and buyer communications.

Export credit insurance and other risk-mitigation facilities may be worth investigating where eligibility and commercial terms are suitable. No insurance or bank instrument should be assumed to eliminate every risk.

7. Explore Bihar’s Export-Promotion Policy and National Support

Bihar notified its Export Promotion Policy 2024. NITI Aayog’s Export Preparedness Index 2024 describes support measures associated with the policy, including export-linked incentives and assistance for market promotion. The policy may provide an important opportunity for eligible enterprises, but an exporter should not assume that every firm or product automatically qualifies.

Before making a financial decision, verify the current policy text, amendments, application window, eligible expenditure or export value, documentation, claim procedure and applicable caps with the Bihar Department of Industries or the competent implementing authority.

MSMEs should also investigate relevant national and state-level support for export market development, quality certification and testing, export credit and working capital, logistics and supply-chain development, district-specific

products under the One District One Product approach, and applicable export-promotion or credit-guarantee programmes. Support schemes change over time. Build the business case using commercially sustainable economics and treat any eligible incentive as additional support—not as the foundation of profitability.

8. Build Export-Ready Clusters Across Bihar

Bihar's export strategy can become more effective when enterprises, producers, processors, logistics providers, financial institutions and public agencies work together. A district-level approach could connect local producers with aggregation and grading facilities, common packaging and testing infrastructure, cold-chain services for suitable agricultural products, shared export documentation expertise, buyer discovery and reliable transport and freight-forwarding services.

A small producer may not have sufficient volume or resources to serve a large overseas buyer independently. A well-governed producer group, cooperative or aggregation model may improve consistency, traceability and bargaining power. However, aggregation must preserve quality standards, transparent pricing and accountability. A cluster is commercially useful only when it delivers dependable products and services to buyers.

9. A 90-Day Export-Readiness Roadmap

A disciplined first 90 days can help an enterprise test its readiness before committing significant capital.

Days 1–15: Product and market validation

- Select one primary product and one target market.
- Research import demand, competitors and applicable requirements.
- Estimate production capacity and the minimum commercially viable order.
- Prepare a preliminary export-cost model.

Days 16–30: Compliance and capability

- Complete necessary business and export registrations.
- Confirm product-specific standards and documentation.
- Identify suitable packaging, testing and logistics partners.
- Prepare a product catalogue and export profile.

Days 31–60: Buyer development

- Build a qualified list of potential buyers.
- Send targeted, professional introductions and quotations.
- Verify buyer credibility.
- Discuss specifications, samples, order quantity, delivery and payment terms.

Days 61–90: Transaction preparation

- Review the commercial contract and agreed Incoterms® rule.
- Confirm production readiness, documentation and shipment arrangements.
- Finalise an acceptable payment-risk structure.
- Execute a commercially justified pilot order if a suitable buyer and compliant transaction are secured.

This is a readiness framework, not a promise that an export sale can be completed within 90 days. Buyer responses, approvals, testing and logistics may take longer.

10. What Board Members and Policymakers Should Measure

Export development should be assessed through outcomes, not merely through the number of registrations, training sessions or promotional events. A stronger MSME export ecosystem should monitor:

- Number of first-time exporters that complete actual shipments.
- Export value and product diversification.
- Repeat-order rate and customer concentration.
- Export profitability and working-capital requirements.
- Payment realisation and overdue receivables.
- Compliance failures, shipment rejections and product claims.
- Participation of women-led, rural and smaller enterprises.
- Jobs created and the share of value retained locally.
- Time and cost required to access relevant public support.

This distinction matters. An enterprise that obtains an IEC but never secures a buyer has not yet become an active exporter. Similarly, higher export turnover does not automatically mean higher profits or better resilience. For policymakers and board members, the objective should be to create a system that helps capable MSMEs move from registration to market access, from a first shipment to repeat orders, and from low-margin commodity sales to stronger value addition.

Conclusion: From Export Awareness to Export Competitiveness

Bihar has agricultural strengths, distinctive cultural products, entrepreneurial talent and access to neighbouring markets. Converting these advantages into sustained export growth requires more than promotional enthusiasm. It requires accurate market intelligence, reliable quality, efficient logistics, responsible finance, clear policy implementation and professional management.

The most effective export mentor does not simply explain how to obtain an IEC. The mentor helps an enterprise determine whether it is ready to export, which market it should target, how it can price profitably, how it can protect its cash flow and how it can build a repeatable international business.

For Bihar, the long-term opportunity is to develop a wider base of globally competitive MSMEs whose success generates employment, strengthens local supply chains and increases the value captured by producers within the state.

My perspective as an MSME & Export Mentor: The next chapter of Bihar's export growth should be measured not only by how much the state produces, but by how many of its enterprises can compete internationally, retain value locally and grow responsibly.

About the Author

Dhananjay Singh is an MSME & Export Mentor, Educationist and Economist. His work focuses on export awareness, enterprise development, governance and practical pathways for improving the competitiveness of businesses in Bihar and India.

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Data note: The Bihar export figure cited above relates to FY 2023–24 as reported in NITI Aayog's Export Preparedness Index 2024. India's total export figure relates to FY 2024–25. These figures cover different periods and measures and should not be treated as directly comparable. Policy benefits, registration requirements and eligibility should be verified against the latest official notifications before action.